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Once Prized as Unbeatable Investments, Exotic Sports Cars Crash in Current Value

But just as the prices for fine art have fallen from the giddy heights of the 1980s, so have the values of the automobile industry's answers to Picasso and Pollack. Ferraris that once could have fetched over \$1 million now are valued at less than half that. Aficionados who plunged into the speculative frenzy in exotic cars during the last decade are crying the blues, and even going to court.

Now that the tidal wave has crashed, dragging art prices down as sharply as Japanese property and stocks, Japan's huge art collection has become just another reminder of the worst excesses of Japan's speculative bubble.

LONDON — The bubble has burst at last. In announcing that its worldwide operations had shown a \$7.7 million loss for the first nine months of 1992 and that it was raising the amount charged to art buyers, to 15 percent on top of the winning bid from 10 percent on all lots up to £30,000 or \$50,000, Sotheby's has conceded publicly what the professionals had known for more than a year: The auction house is in trouble.

Among the unhappy collectors: Detroit's Big Three, all of which bought European exotic-car companies during the late 1980s and are now struggling to salvage, or bail out of, their investments.

Across the board, prices for antique, classic, racing and muscle cars have crashed by 10% to 70%.

Forbes ■ November 23, 1992

The only thing rivaling the speed with which collectible car prices surged a few years ago is the rate at which they have since collapsed. Is this a buying opportunity?

NEW YORK—Andy who?

A dozen paintings by pop-art master Andy Warhol went on the auction block last night and were snubbed by a bevy of collectors and dealers.

The huge sale of 77 contemporary paintings and sculptures—the first of the crucial semiannual two-week art sales season—died under its own weight. There were simply too many Warhols, dealers and collectors said, and too few top-quality works by other artists in this sale.

The sale registered a steep failure rate of 48%, with 37 of the artworks failing to sell.

THE RUMOUR last year in the New York art market—fanned assiduously by auction houses and dealers alike—was that Old Masters, traditionally a subdued market in the United States, were about to come into their own.

A certain optimism prevailed, therefore, when it came to last month's Old Master sales in New York. Alas, results proved disappointing. At Christie's, 40 per cent of the 176 lots on offer were bought in; and at Sotheby's, where quantity (almost 300 lots) was the order of the day, 36 per cent of the paintings remained on the block.

The \$16 million Ferrari and other popular delusions

RESULTS of recent evening art auctions in New York at Sotheby's and Christie's were decidedly mixed. Buyers paid up for high quality but shunned second-rate works.

The market for contemporary paintings, which had been recovering of late, appeared to suffer a relapse during the auctions.

In what turned out to be its worst contemporary sale since November 1990, it got only \$8.98 million for 40 lots, leaving 37, or 48%, unsold.

Only Two Warhols Sell

Altogether, Mr. Hughes's Warhols were estimated to bring \$3.7 million to \$5 million. Only two sold, for a total of \$610,000.

The total for the Sotheby's sale, including the commission paid to Sotheby's, was a paltry \$9 million. Sotheby's had expected the sale to raise about \$18.4 million to \$24.7 million.

MAY 4, 1993

Once-Hot Photograph Market Cools Down, Creating Bargains